



A little after 6 p.m. on October 10, as Mumbai wound down for the weekend, a rare communiqué arrived in newsroom inboxes. Shapoorji Pallonji Mistry, the reticent head of one of India's oldest business houses, had broken his silence.

The two-page statement, signed personally by Mistry, was calm in tone but seismic in implication. It called once again for “transparency and good governance through the public listing of Tata Sons”—the holding company at the centre of India's largest conglomerate. For the 160-year-old Shapoorji Pallonji (SP) Group, the second-largest shareholder in Tata Sons with an 18.4% stake, the demand was not new. But the timing was telling.

Earlier that same day, the board of Tata Trusts, which owns about two-thirds of Tata Sons, had met at the iconic Taj Mahal Palace Hotel in Mumbai. The meeting was held just two days after the first anniversary of Ratan Tata's death and days after Trusts Chairman Noel Tata and Tata Sons Chairman N. Chandrasekaran met Union Home Minister Amit Shah and Finance and Corporate Affairs Minister Nirmala Sitharaman in New Delhi.

The meetings did little to clear the air amid murmurs of disquiet within the Trusts. “It was business as usual,” says one insider, adding “nothing hinted at the brewing storm.”

But as Mistry's statement showed, the storm had already arrived—in the form of a renewed pub-

lic demand to list Tata Sons, and by extension, shine a light on the governance of India's most influential corporate structure.

THE HEART OF THE MATTER

At the core of this renewed confrontation lies a simple, strategic question: should Tata Sons—the unlisted holding company that controls India's largest industrial empire—remain private, or is it time to subject it to financial sector regulations?

In his statement, Mistry wrote that the public listing of Tata Sons was not merely a financial act, but “a moral and social imperative” that would unlock value “for over 1.2 crore shareholders of listed Tata companies, who are indirect shareholders of Tata Sons.” He argued that the listing would “pave the way for a robust and equitable dividend policy, ensuring sustained inflows to Tata Trusts,” and that the move was “completely in consonance with the ideals of Jamsetji Tata.”

The SP Group's 18.4% stake, acquired over generations since 1936, represents the largest non-trust shareholding in Tata Sons. At current valuations, it is worth about ₹3 lakh crore, according to Infomercials Ratings. For the debt-laden SP Group, a listing could offer both transparency and liquidity.

And yet, behind this call for transparency lies a deeper strain—a financial and strategic compulsion born of debt and diminished cash flow.

DEBT, DEADLINES AND DIFFICULT DECISIONS

Why did the SP Group choose this moment to restate its case? The answer, at least in part, lies in its balance sheet numbers.

Over the last five years, the group has undertaken one of the most complex deleveraging exercises in Indian corporate history. ICRA, in its February 2025 note, reaffirmed ratings with a “negative outlook,” citing “continued stress on the liquidity position.” The report

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STRESS POINTS



Tata Trusts is the majority shareholder (65.3%) of Tata Sons. There are disagreements among trustees, with two clear groups emerging



The resignation of Vijay Singh, a Trust nominee, from Tata Sons in September was the tipping point. A proposal to appoint Mehli Mistry to the board shot down

